

- **Bear Market**—a stock market with falling prices over an extended period of time.
- **Benefits of Trade**—the advantages obtained by buyers and sellers when they trade a stock.
- **Bid Price**—the price that buyers are willing to pay for a particular stock at a given time.
- **Blue Chip**—a reference to a certain type of company or its stock. A blue chip company is nationally known, highly esteemed, and noted for the quality and wide acceptance of its products and services as well as for its consistent record of making profits and paying dividends. The term comes from poker, where the blue chip is the most valuable.
- **Broker**—an individual or business that specializes in bringing together buyers and sellers of stocks.
- **Bull Market**—a stock market with rising prices over an extended period of time.
- **Close Price**—the final, or last traded, price of a stock at the end of the trading day.
- **Commission**—the fee a broker and/or stockbroker collects for helping people buy and sell a stock.
- **Contrarianism**—the theory that small investors are usually wrong and that it is advantageous to pursue strategies opposite to the popular investing trend.
- **Diversification**—the spreading of investments across a number of assets in order to eliminate some, but not all, of the risk.
- **Dow Jones Industrial**—the average of thirty well-known “blue chip” stocks. This average is the best-known stock index.
- **Floor Broker**—a member of a brokerage house who completes a customer’s buy or sell order on the floor of a stock exchange.

